

Reinsurance Treaty Administration

Standard Operating Procedure — Continental Insurance, Reinsurance Operations

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Process Owner	Reinsurance Operations — Treaty Accounting
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Approved By	Head of Reinsurance
Classification	Internal Use Only — Finance Restricted

1. Purpose

This SOP governs the administration of outward reinsurance treaties — recording cessions, accounting for reinsurance premium, processing claims recoveries, and producing bordereaux — so that retained exposure, technical balances, and recoverables are accurate and timely.

2. Scope

Covers all outward proportional treaties (quota share, surplus) and non-proportional treaties (excess of loss). Facultative reinsurance and inward (assumed) reinsurance are administered under separate procedures.

3. Definitions

- **Cession** — the portion of a risk transferred to a reinsurer; **retention** is the portion kept.
- **Quota share / Surplus** — proportional treaties sharing premium and losses by fixed or variable proportion.
- **Excess of Loss (XoL)** — non-proportional cover above an attachment point, up to a layer limit.
- **Bordereau** — periodic schedule of premiums and claims reported to the reinsurer.
- **Reinstatement premium** — premium to restore an exhausted XoL layer after a recovery.

4. Roles & Responsibilities

Role	Responsibility
Reinsurance Analyst	Records cessions, prepares bordereaux, raises recoveries.
Reinsurance Manager	Reviews treaty application and approves balances.
Treaty Accounting (Finance)	Settles technical accounts and reconciles the GL.
Claims	Notifies qualifying large losses for recovery.
Actuarial	Advises on retention adequacy and capacity.
Reinsurer / Broker	Confirms balances and settles recoveries.

5. Procedure

Phase 1 — Cession processing

Step	Activity	Responsible	Timing
1	Identify policies subject to each treaty as they are written.	Analyst	Daily
2	Calculate ceded sum insured and premium per the treaty terms.	Analyst	T+2 days
3	Apply retention limits and record cessions in the Reinsurance system.	Analyst	T+3 days
4	Flag risks exceeding treaty capacity for facultative placement.	Reinsurance Manager	T+5 days

Decision: Does exposure exceed treaty capacity? → Yes: arrange facultative cover. → No: cede within treaty.

Phase 2 — Accounting & reporting

Step	Activity	Responsible	Timing
5	Prepare quarterly premium and claims bordereaux.	Analyst	Q+30 days
6	Reconcile the technical account and confirm balances with the reinsurer.	Treaty Accounting	Q+30 days
7	Raise reinsurance premium payable and post to the GL.	Treaty Accounting	Q+35 days
8	Settle balances per the treaty credit terms (60 days).	Finance	Q+60 days

Phase 3 — Claims recovery & settlement

Step	Activity	Responsible	Timing
9	On qualifying claims, compute the recoverable (proportional share or XoL layer).	Analyst	T+5 days
10	Raise the recovery from the reinsurer and record reinstatement premium for XoL.	Analyst	T+10 days
11	Monitor outstanding recoveries and report aged recoverables.	Reinsurance Manager	Monthly
12	Perform year-end treaty reconciliation and reporting.	Treaty Accounting	Annual

6. Approval / Authority Matrix

Cession / recovery amount	Approver	Secondary
Up to SGD 100,000	Reinsurance Analyst	—
SGD 100,001 – 1,000,000	Reinsurance Manager	Analyst recommendation
Above SGD 1,000,000	Head of Reinsurance	Finance sign-off
Facultative placement	Head of Reinsurance	Actuarial

7. Service Levels

- Book cessions within **5 business days** of risk inception.
- Submit bordereaux within **30 days** of quarter-end.
- Raise recoveries within **10 business days** of claim payment.

8. Systems & References

Systems: Reinsurance Administration System, PAS, GL / Finance system, Claims system, Bordereau Reporting tool.

References: Treaty Slips, Reinsurance Accounting Standards, Group Retention Policy.

9. Revision History

Version	Date	Summary
1.0	01 Oct 2025	Initial release.
1.2	01 May 2026	Added reinstatement-premium handling for XoL.